FY2026 Job Schedule Testing · Draft Findings for the CPA

Findings for the CPA from audit procedures; not an audit report and no opinion.

Client	HANGS Construction Services LLC
Period	The work-in-progress schedule at June 30, 2026, the end of fiscal 2026
Engagement	Year-end audit procedures on the job schedule for the owners, the bonding company and the lender: recomputation, vouching, tests of estimates and analytics.
Prepared from	6 files: the trial balance, the contract schedule, the change order log and the owners' signed approvals, the September 30 schedule and the Tideflats memo
Prepared by	The F1 Finance Audit Machine, a demonstration. Fixed procedures on invented data; no AI model was used.
Status	Draft. Not reviewed, concluded or signed. Nothing was posted or sent to the client, the bank or the bonding company.

Materiality, Proposed

Contract revenue for the year, the benchmark	$68,989,500.00
Materiality: 0.5% of revenue, rounded down	$340,000.00
Performance materiality: 75%	$255,000.00
Clearly trivial: 5%	$17,000.00

What the Procedures Found

Procedure	What was found	Amount
Revenue	Revenue rebuilt from the active and completed job schedules agrees with the books to the cent	$0.00
Recompute	Every job's percent complete and earned revenue recomputes; earned to date at June 30	$22,308,250.00
Billings	Jobs billed ahead of their revenue, agreed to billings in excess of costs and estimated earnings	$975,500.00
Change orders	Pier 9 CO-07 is in the contract at the price asked; the owner signed less, after the year end (WIP-01)	$103,600.00
Estimates	Tideflats' estimate rose after the year end for causes that arose after June 30 (WIP-02)	$1,196,000.00
Profit fade	Pier 9's margin fell from 12.0% to 9.0% during the year; the catch-up is in FY2026 (FADE-01)	$406,560.00
Loss jobs	No active job is expected to lose money; Corliss finished at a loss, fully recognized (LOSS-01)	($172,600.00)
Related party	The Juniper Ridge Business Park job is built for Juniper Ridge Partners LLC, under the same owners (RP-01)	$292,500.00

Signature: none. This memo is not an audit report and expresses no opinion. The CPA reviews the workpapers, decides every open item and concludes. No adjustment has been posted.

DRAFT FOR THE CPA

Draft Findings Memo

Against Materiality

Known misstatements, added up (WIP-01)	**$103,600.00**
Judgment: Tideflats fade after the year end (WIP-02)	$1,196,000.00
Judgment: Pier 9 fade in the year (FADE-01)	$406,560.00
Performance materiality	$255,000.00
Materiality	$340,000.00

What was done

The machine agreed the trial balance and rebuilt the year's revenue and costs from the schedules of active and completed jobs. It recomputed every job, tied the billing position to the balance sheet, agreed each contract to its change orders and vouched each change order to the owner's signed approval. It set each estimate to complete against the costs of July to September and the September 30 estimates, read the Tideflats memo, and compared margins with bids and the prior year end.

What the records support

Revenue and job costs are the schedules' to the cent; every job recomputes; the over and under billings are the balance sheet's; costs after the year end ran within every estimate; no active job is a loss job.

What the CPA decides before concluding

1. Whether the client records WIP-01 or it is passed. 2. Whether the Tideflats fade after the year end is disclosed (WIP-02). 3. What caused Pier 9's fade, from the reforecast (FADE-01). 4. The Juniper Ridge Partners disclosure (RP-01). 5. Materiality (MAT-01) and the representation letter (REP-01).

What the machine does not do

It does not give an audit opinion, sign anything or post an adjustment. Concluding is the CPA's job; the machine stops here.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Contract Revenue, the Benchmark

$68,989,500.00

Workbook: Planning!B15

Draft figure · the CPA reviews and concludes

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Materiality, Proposed

$340,000.00

Workbook: Planning!B16

Draft figure · the CPA reviews and concludes

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Performance Materiality

$255,000.00

Workbook: Planning!B17

Draft figure · the CPA reviews and concludes

Planning!B17 = $255,000.00

=ROUND(B16*0.75,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Materiality · Clearly Trivial

$17,000.00

Workbook: Planning!B18

Draft figure · the CPA reviews and concludes

Planning!B18 = $17,000.00

=ROUND(B16*0.05,2)

Planning!B16 = $340,000.00

=ROUNDDOWN(B15*B29/10000,0)*10000

Planning!B15 = $68,989,500.00

=B9

Planning!B9 = $68,989,500.00

=-('E01 Trial Balance'!D35+'E01 Trial Balance'!D36)

E01 Trial Balance!D35 = ($68,928,250.00)

E01 Trial Balance!D36 = ($61,250.00)

Planning!B29 = 0.500%

Source files and cells (the full formula chain is in the workbook and on the review screen):

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Revenue · Revenue From the Schedules Less the Books

$0.00

Workbook: Planning!B23

Draft figure · the CPA reviews and concludes

Planning!B23 = $0.00

=B22-C22

Planning!B22 = $68,989,500.00

=B20+B21

Planning!B20 = $20,408,250.00

='Jobs'!F14

Jobs!F14 = $20,408,250.00

=SUM(F8:F13)

Jobs!F8 = $11,652,000.00

=B8-B17

Jobs!B8 = $13,552,000.00

=ROUND('E02 Job Schedule'!F8*'E02 Job Schedule'!I8/'E02 Job Schedule'!G8,2)

E02 Job Schedule!F8 = $48,400,000.00

E02 Job Schedule!I8 = $12,332,320.00

E02 Job Schedule!G8 = $44,044,000.00

Jobs!B17 = $1,900,000.00

=ROUND('E02 Jun 30 2025'!F8*'E02 Jun 30 2025'!I8/'E02 Jun 30 2025'!G8,2)

E02 Jun 30 2025!F8 = $47,500,000.00

E02 Jun 30 2025!I8 = $1,672,000.00

E02 Jun 30 2025!G8 = $41,800,000.00

Jobs!F9 = $6,562,500.00

=B9

Jobs!B9 = $6,562,500.00

=ROUND('E02 Job Schedule'!F9*'E02 Job Schedule'!I9/'E02 Job Schedule'!G9,2)

E02 Job Schedule!F9 = $31,250,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F8, Jun 30 2026!I8, Jun 30 2026!G8, Jun 30 2025!F8, Jun 30 2025!I8, Jun 30 2025!G8

01 Client Accounting/FY2026 trial balance.xlsx · Trial Balance!D35, Trial Balance!D36

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Jobs · Earned to Date, Active Jobs

$22,308,250.00

Workbook: Jobs!B14

Draft figure · the CPA reviews and concludes

Jobs!B14 = $22,308,250.00

=SUM(B8:B13)

Jobs!B8 = $13,552,000.00

=ROUND('E02 Job Schedule'!F8*'E02 Job Schedule'!I8/'E02 Job Schedule'!G8,2)

E02 Job Schedule!F8 = $48,400,000.00

E02 Job Schedule!I8 = $12,332,320.00

E02 Job Schedule!G8 = $44,044,000.00

Jobs!B9 = $6,562,500.00

=ROUND('E02 Job Schedule'!F9*'E02 Job Schedule'!I9/'E02 Job Schedule'!G9,2)

E02 Job Schedule!F9 = $31,250,000.00

E02 Job Schedule!I9 = $5,906,250.00

E02 Job Schedule!G9 = $28,125,000.00

Jobs!B10 = $1,840,000.00

=ROUND('E02 Job Schedule'!F10*'E02 Job Schedule'!I10/'E02 Job Schedule'!G10,2)

E02 Job Schedule!F10 = $18,400,000.00

E02 Job Schedule!I10 = $1,628,400.00

E02 Job Schedule!G10 = $16,284,000.00

Jobs!B11 = $292,500.00

=ROUND('E02 Job Schedule'!F11*'E02 Job Schedule'!I11/'E02 Job Schedule'!G11,2)

E02 Job Schedule!F11 = $5,850,000.00

E02 Job Schedule!I11 = $263,250.00

E02 Job Schedule!G11 = $5,265,000.00

Jobs!B12 = $61,250.00

=ROUND('E02 Job Schedule'!F12*'E02 Job Schedule'!I12/'E02 Job Schedule'!G12,2)

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F8, Jun 30 2026!I8, Jun 30 2026!G8, Jun 30 2026!F9, Jun 30 2026!I9, Jun 30 2026!G9

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Billings · Underbilled Jobs, Account 1300

$61,250.00

Workbook: Billings!B15

Draft figure · the CPA reviews and concludes

Billings!B15 = $61,250.00

=D12

Billings!D12 = $61,250.00

=B12-C12

Billings!B12 = $61,250.00

='Jobs'!B12

Jobs!B12 = $61,250.00

=ROUND('E02 Job Schedule'!F12*'E02 Job Schedule'!I12/'E02 Job Schedule'!G12,2)

E02 Job Schedule!F12 = $6,125,000.00

E02 Job Schedule!I12 = $54,512.50

E02 Job Schedule!G12 = $5,451,250.00

Billings!C12 = $0.00

='E02 Job Schedule'!L12

E02 Job Schedule!L12 = $0.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F12, Jun 30 2026!I12, Jun 30 2026!G12, Jun 30 2026!L12

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Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Billings · Overbilled Jobs, Account 2300

$975,500.00

Workbook: Billings!B16

Draft figure · the CPA reviews and concludes

Billings!B16 = $975,500.00

=-(D8+D9+D10)

Billings!D8 = ($428,000.00)

=B8-C8

Billings!B8 = $13,552,000.00

='Jobs'!B8

Jobs!B8 = $13,552,000.00

=ROUND('E02 Job Schedule'!F8*'E02 Job Schedule'!I8/'E02 Job Schedule'!G8,2)

E02 Job Schedule!F8 = $48,400,000.00

E02 Job Schedule!I8 = $12,332,320.00

E02 Job Schedule!G8 = $44,044,000.00

Billings!C8 = $13,980,000.00

='E02 Job Schedule'!L8

E02 Job Schedule!L8 = $13,980,000.00

Billings!D9 = ($337,500.00)

=B9-C9

Billings!B9 = $6,562,500.00

='Jobs'!B9

Jobs!B9 = $6,562,500.00

=ROUND('E02 Job Schedule'!F9*'E02 Job Schedule'!I9/'E02 Job Schedule'!G9,2)

E02 Job Schedule!F9 = $31,250,000.00

E02 Job Schedule!I9 = $5,906,250.00

E02 Job Schedule!G9 = $28,125,000.00

Billings!C9 = $6,900,000.00

='E02 Job Schedule'!L9

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F8, Jun 30 2026!I8, Jun 30 2026!G8, Jun 30 2026!L8, Jun 30 2026!F9, Jun 30 2026!I9

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Change Orders · CO-07 Not Supported by the Owner (WIP-01)

$370,000.00

Workbook: Change Orders!C22

Draft figure · the CPA reviews and concludes

Change Orders!C22 = $370,000.00

=D14

Change Orders!D14 = $370,000.00

=B14-C14

Change Orders!B14 = $610,000.00

='E03 Change Order Log'!D14

E03 Change Order Log!D14 = $610,000.00

Change Orders!C14 = $240,000.00

='E04 CO Approvals'!C15

E04 CO Approvals!C15 = $240,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/FY2026 change order log.xlsx · Change Orders!D14

02 Jobs/Signed change order approvals.pdf · PDF pages 1 to 3; the owners' countersigned change orders, amount approved and date signed

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Change Orders · Revenue Overstated by CO-07 (WIP-01) $103,600.00

Workbook: Change Orders!C24

Draft figure · the CPA reviews and concludes

Change Orders!C24 = $103,600.00

=ROUND(C22*'E02 Job Schedule'!I8/'E02 Job Schedule'!G8,2)

Change Orders!C22 = $370,000.00

=D14

Change Orders!D14 = $370,000.00

=B14-C14

Change Orders!B14 = $610,000.00

='E03 Change Order Log'!D14

E03 Change Order Log!D14 = $610,000.00

Change Orders!C14 = $240,000.00

='E04 CO Approvals'!C15

E04 CO Approvals!C15 = $240,000.00

E02 Job Schedule!I8 = $12,332,320.00

E02 Job Schedule!G8 = $44,044,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/FY2026 change order log.xlsx · Change Orders!D14

02 Jobs/Signed change order approvals.pdf · PDF pages 1 to 3; the owners' countersigned change orders, amount approved and date signed

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!I8, Jun 30 2026!G8

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Estimates · Estimate Changes After the Year End

$1,954,000.00

Workbook: Estimates!F15

Draft figure · the CPA reviews and concludes

Estimates!F15 = $1,954,000.00

=SUM(F8:F13)

Estimates!F8 = $182,000.00

=E8-'E02 Job Schedule'!G8

Estimates!E8 = $44,226,000.00

='E05 Sep 30 Schedule'!G8

E05 Sep 30 Schedule!G8 = $44,226,000.00

E02 Job Schedule!G8 = $44,044,000.00

Estimates!F9 = $576,000.00

=E9-'E02 Job Schedule'!G9

Estimates!E9 = $28,701,000.00

='E05 Sep 30 Schedule'!G9

E05 Sep 30 Schedule!G9 = $28,701,000.00

E02 Job Schedule!G9 = $28,125,000.00

Estimates!F10 = $1,196,000.00

=E10-'E02 Job Schedule'!G10

Estimates!E10 = $17,480,000.00

='E05 Sep 30 Schedule'!G10

E05 Sep 30 Schedule!G10 = $17,480,000.00

E02 Job Schedule!G10 = $16,284,000.00

Estimates!F11 = $0.00

=E11-'E02 Job Schedule'!G11

Estimates!E11 = $5,265,000.00

='E05 Sep 30 Schedule'!G11

E05 Sep 30 Schedule!G11 = $5,265,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

03 After Year End/September 30 2026 contract schedule.xlsx · Sep 30 2026!G8, Sep 30 2026!G9, Sep 30 2026!G10, Sep 30 2026!G11, Sep 30 2026!G12, Sep 30 2026!G13

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!G8, Jun 30 2026!G9, Jun 30 2026!G10, Jun 30 2026!G11, Jun 30 2026!G12, Jun 30 2026!G13

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Estimates · Tideflats Fade After the Year End (WIP-02)

$1,196,000.00

Workbook: Estimates!B19

Draft figure · the CPA reviews and concludes

Estimates!B19 = $1,196,000.00

=B17-B18

Estimates!B17 = $2,116,000.00

='E02 Job Schedule'!F10-'E02 Job Schedule'!G10

E02 Job Schedule!F10 = $18,400,000.00

E02 Job Schedule!G10 = $16,284,000.00

Estimates!B18 = $920,000.00

='E05 Sep 30 Schedule'!F10-'E05 Sep 30 Schedule'!G10

E05 Sep 30 Schedule!F10 = $18,400,000.00

E05 Sep 30 Schedule!G10 = $17,480,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F10, Jun 30 2026!G10

03 After Year End/September 30 2026 contract schedule.xlsx · Sep 30 2026!F10, Sep 30 2026!G10

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Fade · Pier 9 Fade in FY2026 Profit (FADE-01)

$406,560.00

Workbook: Fade!B19

Draft figure · the CPA reviews and concludes

Fade!B19 = $406,560.00
=ROUND(B17*B15,2)-B18

Fade!B17 = $11,652,000.00
='Jobs'!F8

Jobs!F8 = $11,652,000.00
=B8-B17

Jobs!B8 = $13,552,000.00
=ROUND('E02 Job Schedule'!F8*'E02 Job Schedule'!I8/'E02 Job Schedule'!G8,2)

E02 Job Schedule!F8 = $48,400,000.00

E02 Job Schedule!I8 = $12,332,320.00

E02 Job Schedule!G8 = $44,044,000.00

Jobs!B17 = $1,900,000.00
=ROUND('E02 Jun 30 2025'!F8*'E02 Jun 30 2025'!I8/'E02 Jun 30 2025'!G8,2)

E02 Jun 30 2025!F8 = $47,500,000.00

E02 Jun 30 2025!I8 = $1,672,000.00

E02 Jun 30 2025!G8 = $41,800,000.00

Fade!B15 = 12.000%
=ROUND(('E02 Jun 30 2025'!F8-'E02 Jun 30 2025'!G8)/'E02 Jun 30 2025'!F8,6)

Fade!B18 = $991,680.00
='Jobs'!F8-'Jobs'!G8

Jobs!G8 = $10,660,320.00
='E02 Job Schedule'!I8-'E02 Jun 30 2025'!I8

Source files and cells (the full formula chain is in the workbook and on the review screen):
02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F8, Jun 30 2026!I8, Jun 30 2026!G8, Jun 30 2025!F8, Jun 30 2025!I8, Jun 30 2025!G8

Original documents are attached to this PDF. The workbook is attached too.

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AUDIT FINDINGS · FOLLOW THE EVIDENCE

Fade · Corliss Loss on Completion (LOSS-01)

($172,600.00)

Workbook: Fade!B21

Draft figure · the CPA reviews and concludes

Fade!B21 = ($172,600.00)

=E12

Fade!E12 = ($172,600.00)

='E02 Completed Fy2026'!F12

E02 Completed Fy2026!F12 = ($172,600.00)

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Completed FY2026!F12

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Related Party · Juniper Ridge Partners Earned in FY2026 (RP-01)

$292,500.00

Workbook: Fade!B26

Draft figure · the CPA reviews and concludes

Fade!B26 = $292,500.00

='Jobs'!F11

Jobs!F11 = $292,500.00

=B11

Jobs!B11 = $292,500.00

=ROUND('E02 Job Schedule'!F11*'E02 Job Schedule'!I11/'E02 Job Schedule'!G11,2)

E02 Job Schedule!F11 = $5,850,000.00

E02 Job Schedule!I11 = $263,250.00

E02 Job Schedule!G11 = $5,265,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!F11, Jun 30 2026!I11, Jun 30 2026!G11

DRAFT FOR THE CPA

Original documents are attached to this PDF. The workbook is attached too.

AUDIT FINDINGS · FOLLOW THE EVIDENCE

Adjustments · Known Misstatements, Added Up

$103,600.00

Workbook: Adjustments!B11

Draft figure · the CPA reviews and concludes

Adjustments!B11 = $103,600.00

=B8

Adjustments!B8 = $103,600.00

='Change Orders'!C24

Change Orders!C24 = $103,600.00

=ROUND(C22*'E02 Job Schedule'!I8/'E02 Job Schedule'!G8,2)

Change Orders!C22 = $370,000.00

=D14

Change Orders!D14 = $370,000.00

=B14-C14

Change Orders!B14 = $610,000.00

='E03 Change Order Log'!D14

E03 Change Order Log!D14 = $610,000.00

Change Orders!C14 = $240,000.00

='E04 CO Approvals'!C15

E04 CO Approvals!C15 = $240,000.00

E02 Job Schedule!I8 = $12,332,320.00

E02 Job Schedule!G8 = $44,044,000.00

Source files and cells (the full formula chain is in the workbook and on the review screen):

02 Jobs/FY2026 change order log.xlsx · Change Orders!D14

02 Jobs/Signed change order approvals.pdf · PDF pages 1 to 3; the owners' countersigned change orders, amount approved and date signed

02 Jobs/June 30 2026 contract schedule.xlsx · Jun 30 2026!I8, Jun 30 2026!G8

Original documents are attached to this PDF. The workbook is attached too.

DRAFT FOR THE CPA

WHAT STILL NEEDS A PERSON

WIP-01 · $103,600.00: Pier 9 Tech Center's June 30 contract includes change order CO-07 at $610,000.00, the price HGC asked for the seismic hold-down upgrade. The owner signed it on July 15, 2026 for $240,000.00. The $370,000.00 difference, at 28.0% complete, put $103,600.00 into FY2026 revenue and gross profit, and understates billings in excess of costs and estimated earnings by the same amount. Proposed: debit contract revenue $103,600.00, credit 2300 $103,600.00. 30.5% of materiality, under performance materiality: passed if the client declines. The machine never posts.

WIP-02 · $1,196,000.00: Tideflats Cold Storage's estimate rose from $16,284,000.00 to $17,480,000.00 after the year end: the supplier's price notice of August 3, 2026 and cracked panels found on August 11, 2026. Both arose after June 30, so the June estimate stands and the fade is fiscal 2027's, as the quarterly review recorded. The job still expects $920,000.00 of profit. The CPA decides whether the year-end statements disclose it as a subsequent event, and whether the backcharge claim against the precaster is mentioned. Nothing is adjusted.

FADE-01 · $406,560.00: Pier 9 Tech Center's margin fell from 12.0% at June 30, 2025 to 9.0% at June 30, 2026; FY2026 bears $406,560.00 of catch-up. The schedule gives no reason. The September 30 estimate keeps the margin and the costs since have run within it, which supports the June estimate. The CPA reads the project manager's reforecast and asks what caused the fade.

LOSS-01 · $172,600.00: Corliss Medical Group's clinic finished at a loss of $172,600.00 against a bid margin of 10.5%. The loss is fully in FY2026 cost, so nothing more is provided. Its $186,935.00 final billing is disputed and unpaid; the receivables testing decides whether it is collectible.

RP-01 · $292,500.00: The Juniper Ridge Business Park job (J-2625), nine flex buildings, is built for Juniper Ridge Partners LLC, a commercial developer under the same owners, on land it owns. It earned $292,500.00 in FY2026 at a 10.0% margin. The CPA decides the related party disclosure; the bonding company and the lender read these statements.

MAT-01 · $340,000.00: Materiality is proposed at $340,000.00, 0.5% of the year's revenue, with performance materiality $255,000.00 and clearly trivial $17,000.00. The engagement partner sets the final amounts.

REP-01: No management representation letter has been obtained. It should cover the estimates, the change orders counted and the events after the year end.

SIGN-01: These are draft workpapers and a draft findings memo for the engagement partner. They are not an audit report and give no opinion. Nothing has been signed, posted or sent.

This memo is a draft for the engagement partner. It is not an audit report and expresses no opinion; nothing has been signed, posted or sent.

DRAFT FOR THE CPA